

Amazon.com

NASDAQ : \$2774.41B mkt cap · 10.73B sh · \$123B cash, \$68.4B debt · \$123B cash vs ~\$54B net cash after lease/debt; ~10.73B shares; no dividend, AMZN · Mature- capital is plowed into capex not buyback; Revenue \$716.9B FY25 (+12%); GAAP op margin 11.2% (record); FCF crushed to ~\$7.7B (~1%) Company DCF by the ~\$200B AI capex surge; ~\$258.45, +18% TTM, +12% YTD

\$258.45

THE CENTRAL QUESTION

Does Amazon's ~\$200B/yr AI-infrastructure capex earn its cost of capital as AWS reaccelerates — or compress returns into an overbuild before FCF recovers off the FY25 trough?

Amazon trades at ~\$2.77T (~\$258.45, +18% TTM) - but the FCF multiple is distorted: FY25 free cash flow was crushed to ~\$7.7B (from ~\$33B in FY24) by a ~\$200B AI-data-center build. The DCF models FCF margin recovering off that trough as AWS reaccelerates (+28%) and retail/ads margins expand. The finding is modestly rich (-14.1%): the modal base ~-19% as depreciation lags monetization, a wide spread either way.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$222.01

expected fair value today
-14.1% vs spot \$258.45

most likely case (base) -19.1% · 72% at or below spot

FORWARD COMPOUNDED VALUE

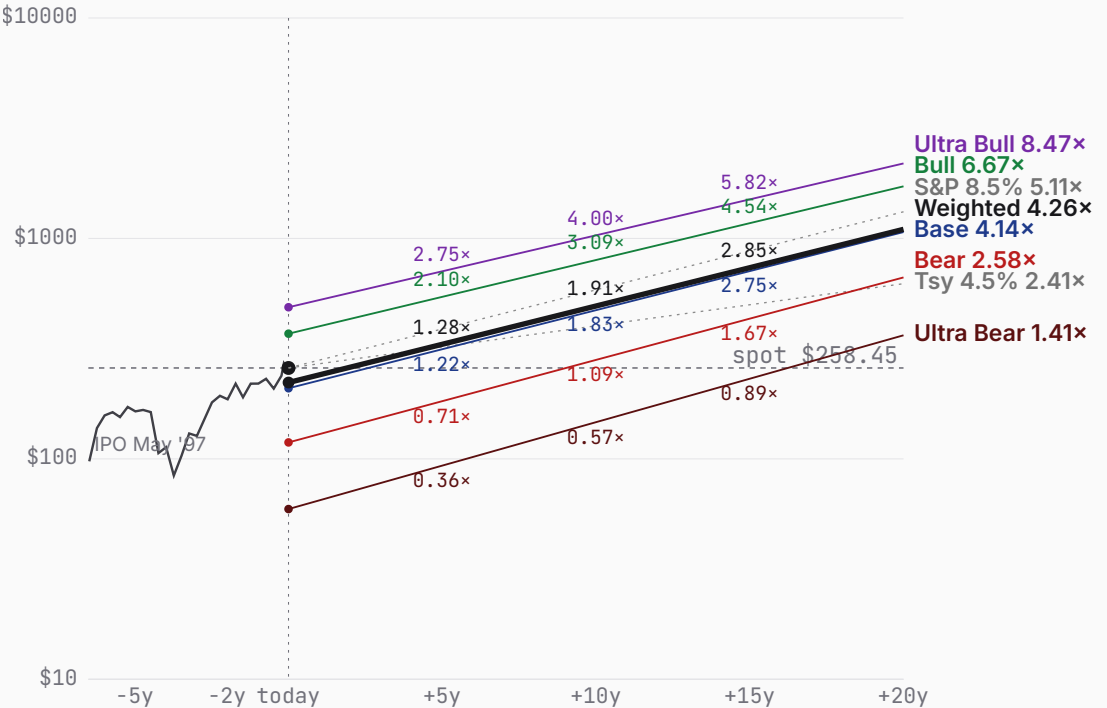
+5y	+10y	+15y	+20y
\$331.00	\$493.71	\$736.73	\$1,099.87
1.28× spot	1.91× spot	2.85× spot	4.26× spot

WEIGHTING RATIONALE

- Ultra Bear 12% AI overbuild; FCF stays trough-bound; ~\$59 (-77%).
- Bear 26% AWS holds but FCF recovers slowly; ~\$119 (-54%).
- Base 34% AWS reaccelerates; FCF normalizes to ~11%; ~\$209 (-19%).
- Bull 20% AI ROIC compounds; margin re-rates; ~\$370 (+43%).
- Ultra Bull 8% AWS AI platform; full re-rate; ~\$487 (+89%).

Bull (20%) + Ultra Bull (8%) together contribute \$112.94 — 51% of the \$222.01 expected value despite 28% combined probability. Today's spot (\$258.45) sits 16% above the weighted expected; the forward-weighted value reaches spot in about 2 years.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$59.20	BEAR	\$118.75	BASE	\$209.08	BULL	\$369.75	ULTRA BULL	\$487.39
	-77.1% vs spot		-54.1% vs spot		-19.1% vs spot		+43.1% vs spot		+88.6% vs spot
CAGR +6.8% WACC 9.5% CAGR +6.8% Prob 12%		CAGR +9.6% WACC 9.0% CAGR +9.6% Prob 26%		CAGR +11.6% WACC 8.5% CAGR +11.6% Prob 34%		CAGR +14.2% WACC 8.0% CAGR +14.2% Prob 20%		CAGR +16.2% WACC 7.8% CAGR +16.2% Prob 8%	
AI overbuild; FCF stays trough-bound.		AWS holds; FCF recovers slowly.		AWS reaccelerates; FCF normalizes to ~11%.		AI ROIC compounds; margin re-rates.		AWS AI platform; full re-rate.	

PROBABILITY WEIGHTS

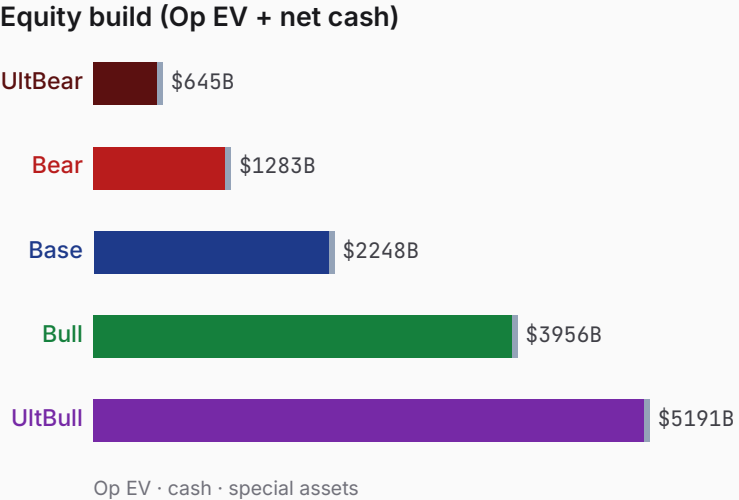
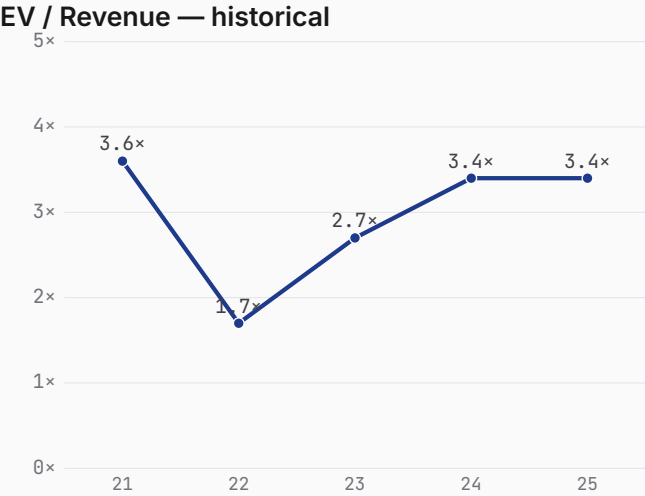
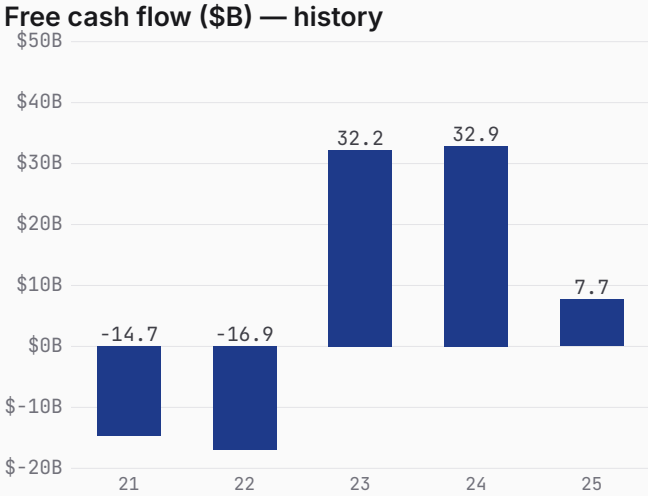
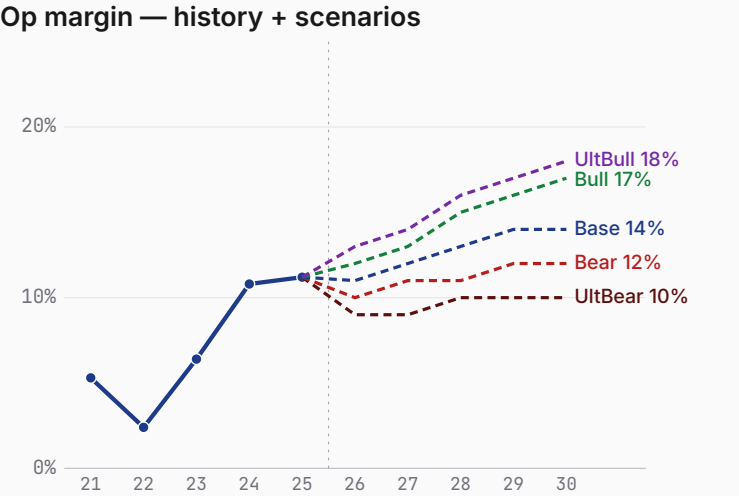
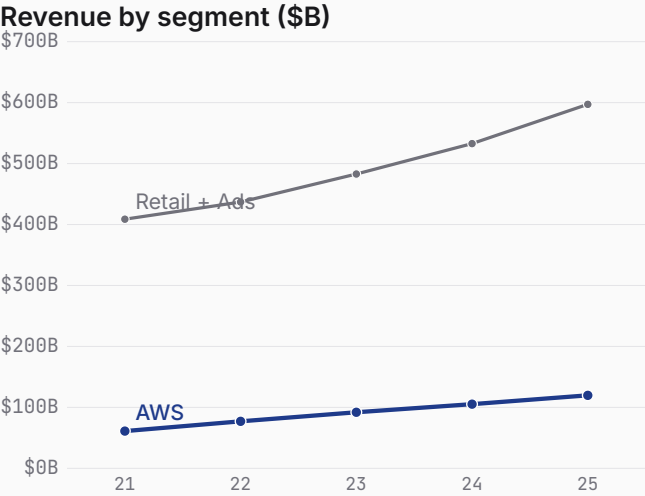
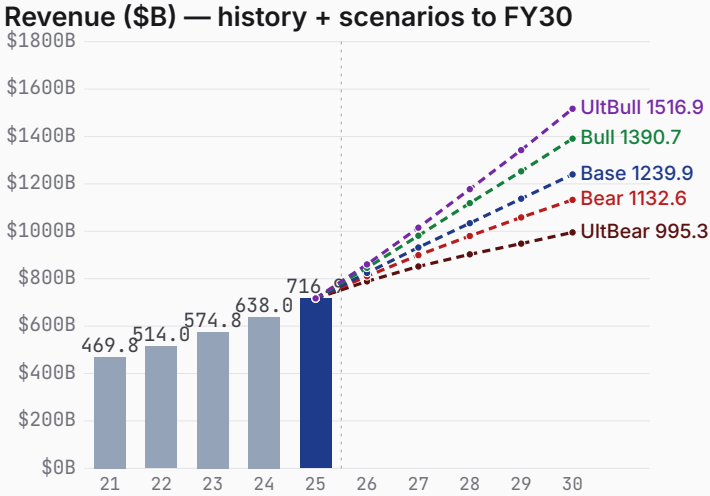
Ultra Bear 12% Bear 26% Base 34% Bull 20% Ultra Bull 8% · Weighted expected \$222.01 (-14.1% vs spot)

ULTRA BEAR	\$59.20	BEAR	\$118.75	BASE	\$209.08	BULL	\$369.75	ULTRA BULL	\$487.39
	-77.1% vs spot		-54.1% vs spot		-19.1% vs spot		+43.1% vs spot		+88.6% vs spot
Probability 12%		Probability 26%		Probability 34%		Probability 20%		Probability 8%	
AI overbuild; FCF stays trough-bound.		AWS holds; FCF recovers slowly.		AWS reaccelerates; FCF normalizes to ~11%.		AI ROIC compounds; margin re-rates.		AWS AI platform; full re-rate.	
WHY 12%		WHY 26%		WHY 34%		WHY 20%		WHY 8%	
The structural-overbuild case: capex jumped +77% YoY with a 6-24 month monetization lag, the FTC Buy-Box trial opens Oct 2026, and International OI is already declining. 12% weight on the build failing to earn its cost of capital.		AWS keeps share but the capex digestion period drags FCF recovery, with the antitrust and International-margin overhangs intact. 26% as the plausible 'grows but cash conversion lags' path.		Requires AWS to hold high-20s% growth and FCF to normalize off the trough as the build monetizes - consistent with the +28% print, Trainium sold-out demand, and the capex peaking, but not a step-change. 34% as the central outcome.		AWS AI demand sustains the growth, Trainium defends/expands margins, and the capex converts to high-ROIC capacity rather than overbuild - the demonstrated AWS franchise plus custom silicon make it credible. 20% weight on the AI infrastructure earning its return.		Everything works - AWS AI platform leadership AND Trainium margin expansion AND advertising AND retail leverage AND a multiple re-rate, the AWS/Starlink-class compounding outcome. ~8%, the long-duration tail.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
The ~\$200B capex never earns its cost of capital: AI demand cools or commoditizes, AWS growth fades back toward the teens, depreciation outruns monetization, and an FTC/EU overhang drags. FCF margin barely lifts off the ~1% FY25 trough toward 5% as the build keeps absorbing cash. Revenue still compounds ~6% on retail/ads but operating margin stalls near 10%.		AWS grows but decelerates off the +28% print, capex stays elevated for several years, and depreciation keeps a lid on margins, so FCF margin claws only partway back toward 8%. Retail and advertising keep expanding but can't fully offset the AI-infrastructure drag. Revenue compounds ~9% to ~\$1.1T at a still-suppressed FCF margin.		The modal path: AWS sustains high-20s% growth on AI demand, Trainium economics defend its ~38% margin, the capex wave peaks and FCF margin normalizes off the trough toward ~11% as the build monetizes, while retail margins (NA 9.0%) and ~\$70B advertising scale. Revenue compounds ~11% to ~\$1.2T.		The AI capex earns a high return: AWS holds high-teens-to-20s% growth with triple-digit AI revenue, Trainium vertical integration lifts AWS margins above 38%, retail/ads operating leverage compounds, and FCF margin inflects toward ~14% as monetization catches the depreciation. Revenue compounds ~14% to ~\$1.4T.		The full second act: AWS becomes the dominant AI-compute platform on Trainium economics, advertising scales into a third profit engine, retail margins keep climbing, and Amazon re-rates to a high-FCF-margin platform at ~16% margin. Revenue compounds ~16% to ~\$1.5T.	
An overbuilt hyperscaler whose capital doesn't convert earns a low-growth ~15x terminal FCF multiple — DCF ~\$59 (-77%). The net cash sets a floor, but a stranded-asset AI build cannot be discounted away.		DCF ~\$119 (-54%) - a hyperscaler whose free cash flow lags its revenue while it digests a multi-year build is worth well below today's price; the market's capex worry is warranted if FCF recovers only slowly.		DCF ~\$209 (-19%) - moderately rich. AWS reacceleration and a normalizing FCF margin are genuinely valuable, but at the modal recovery and a ~21x terminal FCF multiple the model lands below today's price; the capex still has to earn its return for spot to be fair.		DCF ~\$370 (+43%) - if the ~\$200B build clearly earns its cost of capital, the FCF normalization plus an AI-platform margin re-rate carry the stock well above spot; this is the core of the bull.		DCF ~\$487 (+89%) - the AI-infrastructure bet pays off in full and the FCF machine re-rates to a platform multiple; ~8% probability, the asymmetric upside the trough FCF is masking.	

Amazon.com business snapshot

Bear \$118.75 Base \$209.08 Bull \$369.75

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 2026 results



Sources: SEC XBRL company facts (CIK 1018724; revenue, GAAP operating income/margin, cash flow, debt), Amazon Q1 2026 release (net sales \$181.5B +17%, AWS \$37.6B +28% at ~37.7% margin, consolidated op margin 13.1% record, capex \$44.2B +77%, ~\$200B FY2026 capex guide, advertising ~\$70B annualized). Revenue modeled as a growth path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs MSFT/GOOGL.

Amazon.com 7 Powers · the moat, scored

Bear \$118.75 Base \$209.08 Bull \$369.75

Arena. Cloud infrastructure + e-commerce/advertising - Amazon (AWS cloud leader, the largest US marketplace, fast-growing ad business) vs Microsoft Azure, Google Cloud, and retail rivals Walmart/Shopify; auditing scale, switching, and network Powers against a ~\$200B AI capex bet and an FTC trial.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies 	Strong: AWS infrastructure scale + Trainium vertical integration lower unit cost; fulfillment/logistics scale across the largest US marketplace - a genuine, compounding cost advantage.
Network Economies 	The marketplace two-sided network (more buyers → more sellers → more selection) is real and self-reinforcing, though weaker than a pure social network and contestable by Walmart/Shopify.
Counter-Positioning 	Was the e-commerce disruptor; now the incumbent - little counter-positioning left, and AWS faces well-capitalized Azure/GCP, not a slow legacy.
Switching Costs · thesis leans here 	High in AWS: embedded workloads, data gravity, committed-spend contracts, and re-architecture cost make migration painful - the stickiest Power, the AWS retention moat.
Branding 	Trust/convenience (Prime) is a real consumer asset, but cloud is bought on price/performance, not brand; modest as a pricing Power.
Cornered Resource 	Custom silicon (Trainium) + Prime membership + first-party logistics are valuable and hard to copy, but not uniquely cornered against Azure/GCP/Walmart.
Process Power 	Decades of logistics/operations and cloud-operations learning curves (fulfillment, AWS reliability, custom hardware) are a real, hard-to-replicate process advantage.

COMPETITIVE READ

Amazon's Powers are genuine and durable: AWS switching costs (data gravity, committed spend) are the stickiest, layered on scale (AWS infrastructure + Trainium, fulfillment) and a self-reinforcing marketplace network. The Audit: switching costs is the dominant, high-durability Power - hard for Azure/GCP to dislodge - but the live threat is the ~\$200B AI-capex bet and whether AWS AI demand earns its cost of capital before rivals erode growth. That squares with the DCF: the franchise isn't in question, the return on the build is, and the modal case lands ~-19% (moderately rich) because spot already assumes the capex monetizes and FCF normalizes off the trough.

PEER SET

Microsoft (Azure) The #1 cloud rival; Azure + OpenAI is the AWS AI-compute benchmark and the main switching-cost threat.	16% gr · 45% mgn · ~35x EV/FCF
Alphabet (Google Cloud) #3 cloud growing fast with a full AI stack/TPUs; pressures AWS growth and margins on AI workloads.	13% gr · 32% mgn · ~25x EV/FCF
Walmart Largest US retailer; scaled e-commerce + advertising + marketplace - the network/scale challenger on the retail side.	5% gr · 4% mgn · ~35x P/E
Shopify Arms the long tail of independent merchants against the Amazon marketplace; the network-economies pressure on retail.	25% gr · 12% mgn · ~60x EV/FCF

THREAT VECTORS · FALSIFIERS

Switching Costs · Microsoft Azure / Google Cloud (AI workloads) falsifier: AWS growth decelerates back toward the teens as AI workloads shift to Azure/GCP, signaling the migration cost is being overcome.
Network Economies · Walmart + Shopify (marketplace) falsifier: US marketplace/seller share erodes as Walmart's network and Shopify's merchant base take third-party GMV.
Scale Economies · AI capex overbuild / FTC antitrust falsifier: FCF fails to recover off the trough for 2+ years, or the Oct-2026 FTC Buy-Box trial forces structural marketplace changes that dent unit economics.

Amazon.com show your work

Bear \$118.75 Base \$209.08 Bull \$369.75 · Weighted \$222.01 (-14.1%)

ULTRA BEAR					BEAR					BASE					BULL					ULTRA BULL				
\$59.20					\$118.75					\$209.08					\$369.75					\$487.39				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					+6.8					+9.6					+11.6					+14.2				
Year-5 op margin (%)					10.0					12.0					14.0					17.0				
WACC (%)					9.5					9.0					8.5					8.0				
Terminal growth (%)					2.5					3.0					3.5					4.0				
Terminal FCF (\$B)					\$49.77B					\$90.61B					\$136.39B					\$194.70B				
Starting revenue (\$B)					716.90					716.90					716.90					716.90				
Scenario probability (%)					12					26					34					20				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	788.59	+9%	+15.77	+14.40	FY26	810.10	+10%	+24.30	+22.30	FY26	824.43	+11%	+32.98	+30.39	FY26	845.94	+12%	+42.30	+39.16	FY26	860.28	+13%	+51.62	+47.88
FY27	851.68	+9%	+25.55	+21.31	FY27	899.21	+11%	+44.96	+37.84	FY27	931.61	+12%	+55.90	+47.48	FY27	981.29	+13%	+78.50	+67.30	FY27	1015.13	+14%	+101.51	+87.35
FY28	902.78	+10%	+36.11	+27.50	FY28	980.14	+11%	+58.81	+45.41	FY28	1034.09	+13%	+82.73	+64.77	FY28	1118.67	+15%	+123.05	+97.68	FY28	1177.55	+16%	+153.08	+122.20
FY29	947.92	+10%	+47.40	+32.97	FY29	1058.55	+12%	+74.10	+52.49	FY29	1137.50	+14%	+113.75	+82.08	FY29	1252.91	+16%	+162.88	+119.72	FY29	1342.41	+17%	+201.36	+149.11
FY30	995.31	+10%	+49.77	+31.61	FY30	1132.65	+12%	+90.61	+58.89	FY30	1239.87	+14%	+136.39	+90.70	FY30	1390.74	+17%	+194.70	+132.51	FY30	1516.92	+18%	+242.71	+166.72
Σ PV explicit FCF					+127.80					+315.43					+456.38					+573.26				
+ PV terminal (g 2.5%)					462.90					1877.55					3445.30					4562.89				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$590.70B					\$1227.90B					\$3901.68B					\$5136.15B				
+ Cash & investments					\$123.00B					\$123.00B					\$123.00B					\$123.00B				
– Total debt					\$68.40B					\$68.40B					\$68.40B					\$68.40B				
= Equity value					\$645.30B					\$1282.50B					\$3956.28B					\$5190.75B				
FY30 shares (M)					10,900					10,800					10,700					10,650				
= Expected per share					\$59.20					\$209.08					\$369.75					\$487.39				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$93.19	\$146.71	\$230.96	\$363.58		\$182.71	\$281.12	\$432.54	\$665.52		\$314.38	\$472.73	\$710.82	\$1,068.83		\$543.28	\$798.26	\$1,172.91	\$1,723.39		\$709.53	\$1,032.91	\$1,503.69	\$2,189.03	
0.36×	0.57×	0.89×	1.41×		0.71×	1.09×	1.67×	2.58×		1.22×	1.83×	2.75×	4.14×		2.10×	3.09×	4.54×	6.67×		2.75×	4.00×	5.82×	8.47×	



Amazon.com People · Opportunity · Context · Deal

Bear \$118.75 Base \$209.08 Bull \$369.75

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Andy Jassy

5 yrs in seat

9%
insider ownership

MEDIUM
key-person risk

Capital allocation (realized)
No dividend ever paid; the sole return program is a \$10B buyback authorization (March 2022, no expiration) that has gone largely unused — ~\$6.1B still remaining in 2025, no repurchases in the quarters ended March 2024 or 2025. Cash is reinvested instead: FY2025 capex \$128.3B (vs \$77.7B FY2024, the step driven by AI/AWS infrastructure), ~\$200B guided for FY2026; D&A \$41.9B FY2025. SBC \$19.5B FY2025 (down ~12% YoY). M&A: MGM (\$8.5B, closed Mar 2022), One Medical (\$3.9B, closed Feb 2023); the iRobot deal was terminated Jan 2024 (\$94M break fee paid).

Incentive alignment
No new annual equity grant — no RSU award since 2021. Pay rests on a single 10-year grant made when he became CEO in 2021 (originally valued ~\$212M), vesting through 2031 on a fixed schedule regardless of stock performance. FY2024 realized comp ~\$40.1M (that grant vesting plus stock appreciation); the FY2025 Summary Comp Table figure was ~\$2.1M (base ~\$365K plus security/travel) since no new award was made. Heavily equity-front-loaded, time-based.

GOVERNANCE FLAGS

- single-class common stock (one share, one vote) — no dual-class / super-voting, a structural positive vs the dual-class mega-cap peers
- founder Jeff Bezos is Executive Chair (stepped down as CEO July 2021); Chair and CEO roles are split
- Bezos beneficially owns ~9% — fell below 10% for the first time in 2025 via scheduled sales
- Jamie Gorelick is lead independent director; majority-independent board

PEOPLE READ

Andy Jassy has been CEO since July 2021 and founder Jeff Bezos is Executive Chair holding ~9%, on a clean single-class one-share-one-vote register with a split Chair/CEO structure and a lead independent director; capital is directed to reinvestment (FY2025 capex \$128.3B, ~\$200B guided 2026) over capital return — no dividend and a largely-unused buyback.

THE FOUR LEGS

People
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
-14.1% vs spot \$258.45

Amazon.com supporting analysis · disclaimers · glossary

Bear \$118.75 Base \$209.08 Bull \$369.75

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

The FCF multiple is distorted by the capex trough.
FY25 FCF was crushed to ~\$7.7B (from ~\$33B in FY24) by the ~\$200B build; the DCF prices the recovery off the trough, not the depressed print - that's why the multiple looks extreme.
- 2

AWS reaccelerating is the whole bull.
AWS +28% (fastest in 15 quarters) at ~\$150B run-rate and ~37.7% margin, with triple-digit AI revenue growth - the question is whether that demand justifies the depreciation.
- 3

Trainium is the margin defense.
Custom silicon (Trainium/Graviton/Nitro) is >\$20B run-rate with ~\$225B commitments and Trainium2 sold out - vertical integration lowers AI cost and defends AWS margins as the build scales.
- 4

Advertising is a high-margin third engine.
~\$70B annualized and growing fast, structurally high-margin - it scales operating income independent of the AWS capex cycle.
- 5

The swing is AWS AI ROIC, not solvency.
~\$54B net cash and a record 11.2% op margin mean no balance-sheet risk; the downside is whether ~\$200B/yr of capex earns its cost of capital, not survival.

FALSIFICATION TRIGGERS

Bull validation AWS growth holds high-20s% with expanding margin · FCF margin recovers off the ~1% trough toward 10%+ · Trainium commitments convert to revenue · advertising sustains 20%+ growth	Bear validation AWS growth decelerates back toward the teens · capex keeps rising while FCF stays trough-bound · depreciation compresses AWS margin below ~35% · adverse FTC/EU cloud ruling	Reframe needed if AWS AI demand cools or commoditizes and the ~\$200B build becomes a visible overbuild (FCF fails to recover 2+ years), re-rate the terminal toward a low-ROIC capital-heavy multiple
--	--	--

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

Not investment advice. This document is produced for entertainment and educational purposes only by an individual amateur investor. "Alameda Research 2: Electric Boogaloo" is the unincorporated personal concept of one person and is not a registered investment management entity. Nothing herein constitutes investment advice, a recommendation, or a solicitation to buy or sell any security.	Not a professional. The author is not a registered investment advisor, broker-dealer, CFA charterholder, certified financial planner, or licensed financial professional of any kind. The author has no formal training in equity research or capital markets. No fiduciary relationship is created by reading this document.	AI-assisted analysis. Substantial portions of this analysis were produced with the assistance of large language models. LLMs are known to fabricate facts, miscalculate numbers, hallucinate sources, and present incorrect information with high apparent confidence. Every figure, claim, and projection in this document should be independently verified before acting on it.
Forward-looking statements. Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.	Author may hold positions. The author may own, intend to acquire, or hold short exposure to \$AMZN or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.	Do your own research. Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

AWS — Amazon Web Services - the cloud-infrastructure segment (~\$150B run-rate, ~38% operating margin, ~16-17% of revenue but the majority of operating income); reaccelerated to +28% on AI demand, the central swing.	Capex / AI infrastructure — Capital expenditure on AI data centers and chips (~\$200B guided FY26, ~+50% YoY); the cash drag that crushed FY25 FCF, with a 6-24 month lag to monetization - the bear's mechanism.	Trainium — Amazon's custom AI training silicon (with Graviton/Nitro, >\$20B run-rate, ~\$225B commitments, Trainium2 sold out); vertical integration that lowers AI cost and defends AWS margins.
AI ROIC — Whether the ~\$200B/yr AI-infrastructure build earns its cost of capital; the biggest 5-year swing factor.	FCF margin — Free cash flow / revenue (~1% in FY25 at the capex trough vs ~5% in FY24); the bet is recovery off the trough.	